

Sample Texas PTO and Leave Policy

Generic paid time off and leave rules for a Texas-based employer

Effective date: Sample - update before use

Important demo notice: This is a generic sample document for a Texas-based HR demo. It is not legal advice, does not create an employment contract, and should be reviewed by qualified HR/legal counsel before use by a real employer.

1. Purpose

- This policy explains sample rules for paid time off (PTO), holidays, unpaid leave, and separation-related payout treatment for a Texas-based employer.
- Eligibility, accrual rates, and approval rules should be customized for the actual employer.

2. PTO Eligibility and Accrual

- Full-time regular employees may accrue PTO based on years of service and active employment status.
- Part-time, temporary, intern, and contractor roles may be excluded or may receive different benefits if described in writing.
- PTO is not earned during unpaid leave unless required by law or stated in a written company policy.

3. Sample PTO Schedule

Employee Group	Sample Accrual	Sample Annual Cap
Full-time, 0-2 years	10 days per year	120 hours
Full-time, 3-5 years	15 days per year	160 hours
Full-time, 6+ years	20 days per year	200 hours

4. Requesting PTO

- Employees should request PTO in advance through the company's approved system.
- Managers may approve or deny PTO based on staffing, business needs, timing, and fairness across the team.
- Emergency absences should be reported as soon as reasonably possible.

5. Holidays

- The company may publish a holiday schedule each year. Holiday eligibility depends on employee classification and active employment status.
- Non-exempt employees who work on a holiday are paid for hours worked. Extra holiday premium pay is optional unless required by policy or agreement.

6. Sick Time and Personal Leave

- Employees may use available PTO for illness, medical appointments, personal needs, or family obligations.
- The company may request reasonable documentation when permitted by law and policy.

7. Family, Medical, Military, Jury, and Other Protected Leave

- Employees may be eligible for job-protected leave under federal or state law depending on employer size, employee eligibility, and the reason for leave.
- Employees should contact HR as early as possible when they need leave for medical, family, military, jury duty, voting, or other legally protected reasons.

8. PTO Carryover and Payout on Separation

- Texas law generally does not require employers to provide vacation or PTO benefits. If an employer promises PTO or payout in a written policy or agreement, the written terms control.
- Sample demo rule: unused PTO is paid at separation only if the employee gives required notice, returns company property, and the written policy states payout is available. Customize this section before real use.
- If this policy says no payout is available, the company should make that clear in writing and apply the rule consistently.

9. No Contract

- This sample policy does not create a contract and may be changed by the company, consistent with applicable law.

Reference Notes

- Texas Workforce Commission (TWC), Texas Payday Law and Texas Guidebook for Employers: final pay, fringe benefits, and accrued leave payout guidance.
- U.S. Department of Labor, Wage and Hour Division: Fair Labor Standards Act overtime rules for non-exempt employees.

These references are summarized for demo accuracy. Replace with company-specific legal review before real implementation.